



UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Seventh Semester – Fall 2022

Course Code: ECON-401A

Paper: Public Sector Economics

Roll No.37626....

Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Answer the following short questions:

(6x5=30)

- i. What is meant by the term **EXTERNALITY**?
- ii. Explain the concept of free rider with examples.
- iii. Explain the term **NPV (NET PRESENT VALUE)** with its economic application.
- iv. Differentiate between public and private expenditures with the help of examples.
- v. What is the difference between private and social costs, and how do they relate to pollution and production?
- vi. Differentiate between specific tax and advalorem tax.

Q.2. Answer the following questions.

(3x10=30)

- i. What is market failure and role of government? Discuss in detail.
- ii. What are the problems faced by public enterprises in Pakistan? And what is the way out in your opinion?
- iii. Discuss each of the following; as being a public good or private good and why, in case of Pakistan?
 - a) Special education
 - b) National defense
 - c) Railways services